October 26, 2026

Annapurna Finance Private Limited: Rating action for PTCs issued under microfinance loan securitisation transaction

Summary of rating action

Trust name	Instrument*	Initial rated amount (Rs. crore)	Previous rated amount (Rs. crore)	Current rated amount (Rs. crore)	Rating action	Financial Sector Regulator#
Banshee 06 2025	Series A1 PTCs	98.34	98.34	6.35	[ICRA]AA+(SO); Upgraded from [ICRA]AA-(SO)	RBI
	Series A2 PTCs	6.01	6.01	6.01	[ICRA]AA-(SO); Upgraded from [ICRA]A(SO)	RBI
Vega 06 2025	Series A1 PTCs	100.00	100.00	3.85	[ICRA]AA+(SO); reaffirmed	RBI

**Instrument details are provided in Annexure I;*

#SEBI's grievance redressal/dispute resolution and SEBI investor protection mechanisms such as SCORES and ODR shall not be available for activities and instruments which fall under the regulatory purview of Financial Sector Regulators other than SEBI.

Rationale

The pass-through certificates (PTCs) are backed by microfinance loan receivables originated by Annapurna Finance Private Limited {AFPL/Originator; rated [ICRA]A- (Stable)}[1]. AFPL is also the servicer for the transaction.

The rating actions factors in the build-up of the credit enhancement cover over the future PTC payouts on account of high pool amortisation. The rating also draw comfort from the fact that the breakeven collection efficiency is nil for Vega 06 2025 and comfortably lower than actual collection levels observed for Banshee 06 2025 transaction as on September 2026 payout month.

Pool performance summary

Parameter	Banshee 06 2025	Vega 06 2025
Payout month	September 2026	September 2026
Months post securitisation	15	15
Pool amortisation (as % of initial pool principal)	84.2%	83.1%
PTC Series A1 amortisation (as % of initial PTC principal)	93.5%	96.2%
Cumulative collection efficiency[2]	98.3%	98.8%
Cumulative prepayment rate[3]	8.9%	8.8%
Loss-cum-30+ days past due (dpd)[4]	2.1%	2.3%
Loss-cum-90+ dpd[5]	1.8%	2.0%
Breakeven collection efficiency for PTC Series A1[6]	5.2%	Nil
Breakeven collection efficiency for PTC Series A2	39.2%	NA
Cumulative cash collateral (CC) utilisation	Nil	Nil
CC available (as % of balance pool)	31.6%	41.5%

[1] *The current rating rationale of the originator, available at this link, provides its detailed rating history and rating transitions.*

[2] *Cumulative current and overdue collections / Cumulative billings*

[3] *prepayment of contracts prepaid till date / Initial pool principal*

[4] *Unbilled and overdue principal portion of contracts delinquent for more than 30 days, as a % of Initial pool principal*

[5] *Unbilled and overdue principal portion of contracts delinquent for more than 90 days, as a % of Initial pool principal*

[6] *(Balance cash flows payable to investor – CC available) / Balance pool cash flows*

Parameter	Banshee 06 2025	Vega 06 2025
Excess interest spread (EIS; as % of balance pool) for PTC Series A1[7]	4.7%	5.3%
Principal subordination (% of balance pool principal) for PTC Series A1	63.2%	80.0%

Transaction structure

Banshee 06 2025

As per the transaction structure, the monthly cash flow schedule comprises the promised interest payout for Series A1 PTC (till Series A1 PTC are live) then towards Series A2 PTC. The principal is expected to be paid on a monthly basis (100% of the pool principal billed) to Series A1 PTC (till Series A1 PTC are live) then towards Series A2 PTCs, but is promised on the final maturity date. Any prepayment in the pool would be used for the prepayment of Series A1 PTC principal (till Series A1 PTC are live) followed by Series A2 PTC principal amortisation. Any surplus excess interest spread (EIS), after meeting the promised and expected payouts, will flow back to the Originator on a monthly basis.

In case portfolio at risk (PAR) 90+ of the pool exceeds 5% of the initial principal, the EIS available will be used for redemption of Series A1 PTCs (until Series A1 PTCs are outstanding) and post that for redemption of Series A2 PTCs.

Vega 06 2025

As per the transaction structure, the monthly cash flow schedule comprises the promised interest payout. The principal is expected to be paid on a monthly basis (100% of the pool principal billed) but is promised on the final maturity date. Any surplus excess interest spread (EIS), after meeting the promised and expected payouts, will flow back to the Originator on a monthly basis. Any prepayment in the pool would be used for the prepayment of the Series A1 PTCs principal.

However, on the occurrence of predefined trigger events, the entire residual EIS every month shall be utilised for accelerating the principal payment due to Series A1 PTC till its full redemption. The event is triggered on the breach on any of the following conditions (i) the 90+ dpd % of the pool crosses 3.0% of the closing pool principal in any payout month; (ii) the rating of the PTCs is downgraded by a notch; (iii) the Originator's rating is downgraded by a notch; or (iv) the net non-performing assets (NNPAs) of the Originator exceeds 3.5%.

Key rating drivers and their description

Banshee 06 2025:

Credit strengths

Substantial credit enhancement available in the structure –There is a build-up in the credit enhancement with cash collateral increasing to ~32% of the balance pool principal compared to 5.0% at the time of securitisation. Internal credit support is also available through subordination and EIS.

Adequate servicing capability of Annapurna – Annapurna, which is also servicing the loans in the transaction, has an established track record in the micro finance lending business of over two decades and has adequate underwriting policies and collection procedures.

Credit Challenges

Risks associated with lending business – The pool performance would remain exposed to macro-economic shocks, business disruptions and natural calamities that may impact the income-generating capability of the borrowers and their ability to make

[7] *(Pool cash flows till PTC maturity month – Cash flows to PTC – Originator's residual share) / Pool principal outstanding*

timely repayments of their loans. The performance of microfinance loans would also be exposed to political and communal risks.

Vulnerable asset quality in microfinance sector – The microfinance sector has seen lower collections and elevated delinquencies on account of borrower overleveraging and attrition in collection teams in the past. However, portfolio collections and asset quality are better from the post guardrail book which is a source of comfort.

Vega 06 2025:

Credit Strengths:

Substantial credit enhancement available in the structure – The rating factors in the build-up in the credit enhancement with the cash collateral (CC) fully covering the future PTC payouts. There is also credit enhancement in the form of EIS and subordination in the structure

Adequate servicing capability of Annapurna – Annapurna, which is also servicing the loans in the transaction, has an established track record in the micro finance lending business of over two decades and has adequate underwriting policies and collection procedures.

Credit Challenges

Not applicable

Key rating assumptions

ICRA's cash flow modelling for rating securitisation transactions involves the simulation of potential losses, delinquencies and prepayments in the pool. The losses and prepayments are assumed to follow a log-normal distribution. The assumptions for the losses and the coefficient of variation are considered on the basis of the values observed from the analysis of the past performance of the Originator's loan portfolio as well as the characteristics of the specific pool being evaluated. The resulting collections from the pool, after incorporating the impact of the losses and prepayments, are accounted for in ICRA's cash flow model, in accordance with the cash flow waterfall of the transaction.

For the current pools, ICRA has estimated the shortfall in the pool principal collection during its tenure at 1.00% for Banshee 06 2025 pool. The average prepayment rate for both the underlying pools is modelled in the range of 3.0% to 9.0% per annum. Various possible scenarios have been simulated at stressed loss levels and prepayment rates and the incidences of default to the investor as well as the extent of losses are measured after factoring in the credit enhancement to arrive at the final rating for the instrument.

Details of key counterparties

The key counterparties in the rated transactions are as follows:

Transaction name	Banshee 06 2025	Vega 06 2025
Originator	Annapurna Finance Private Limited	Annapurna Finance Private Limited
Servicer	Annapurna Finance Private Limited	Annapurna Finance Private Limited
Trustee	Catalyst Trusteeship Limited	Catalyst Trusteeship Limited
FD Bank	DCB Bank Limited	HSBC Bank
Collection and payout account bank	DBS Bank Limited	HSBC Bank

Liquidity position: Superior

Banshee 06 2025: The liquidity for Series A1 PTCs and Series A2 PTCs is superior after factoring in the credit enhancement available to meet the promised payout to the investor. The total credit enhancement would be more than 9 times the estimated loss in the pool.

Vega 06 2025: The liquidity is superior for Series A1 PTCs as CC fully covers future PTC payouts.

Rating sensitivities

Banshee 06 2025:

Positive factors - The sustained strong collection performance of the underlying pool of contracts (monthly collection efficiency >95%), leading to lower-than-expected delinquency levels, and an increase in the cover available for future investor payouts from the credit enhancement would result in a rating upgrade.

Negative factors - The sustained weak collection performance of the underlying pool of contracts (monthly collection efficiency <90%), leading to higher-than-expected delinquency levels and higher credit enhancement utilisation levels, would result in a rating downgrade. Weakening in the credit profile of the servicer could also exert pressure on the rating.

Vega 06 2025:

Positive factors - The rating could be upgraded if there is a substantial improvement in the credit profile of the servicer.

Negative factors - The rating is unlikely to be downgraded as CC fully covers future PTC payouts.

Analytical approach

The rating action is based on the performance of the pools till the September 2026 payout month, the present delinquency profile of the pool of contracts, the performance expected over the balance pool tenure, and the credit enhancement available in the transaction.

Analytical approach	Comments
Applicable rating methodologies	Securitisation Transactions
Parent/Group support	Not applicable
Consolidation/Standalone	Not applicable

About the originator

Annapurna Finance Private Limited (AFPL), formerly known as Annapurna Microfinance Private Limited (AMPL), was formed by People's Forum, a society registered in Odisha. People's Forum has been engaged in various socio-economic development programmes, including microfinance, since 1990. In November 2009, People's Forum acquired an NBFC, Gwalior Finance and Leasing Company Private Limited, which was renamed AMPL in February 2010.

AFPL provides microcredit for mostly income-generating activities to women borrowers using the group lending model. It also offers other products such as individual loans to provide financial assistance to the MSME segment, home and home improvement loans, consumer durable loans, etc. As on March 2026, AFPL was catering to more than 29 lakh borrowers through a network of 1,757 branches spread across 464 districts in 22 states, while managing a portfolio of Rs. 11,535 crore.

Key financial indicators (audited)

AFPL	FY2025	FY2026	Q1FY2027*
Total income	2,183	2,045	588
Profit after tax	69	36	58
Total managed assets	12,588	13,674	14,280
Gross NPA	2.7%	2.9%	2.5%
CRAR	29.6%	28.1%	28.5%

*Source: Company, ICRA Research; Amount in Rs. crore; Total managed assets = (Total assets + Impairment allowance + Assigned portfolio);*provisional*

Status of non-cooperation with previous CRA: Not applicable

Any other information: None

Rating history for past three years

Trust name	Current rating (FY2027)				Chronology of rating history for the past 3 years			
	Instrument	Initial rated amount (Rs. crore)	Current rated amount (Rs. crore)	Date & rating in FY2027	Date & rating in FY2026		Date & rating in FY2025	Date & rating in FY2024
				October 26, 2026	October 30, 2025	June 30, 2025	-	-
Banshee 06 2025	Series A1 PTCs	98.34	6.35	[ICRA]AA+(SO)	[ICRA]AA-(SO)	Provisional [ICRA]AA-(SO)	-	-
	Series A2 PTCs	6.01	6.01	[ICRA]AA-(SO)	[ICRA]A(SO)	Provisional [ICRA]A(SO)		

Trust name	Current rating (FY2027)				Chronology of rating history for the past 3 years			
	Instrument	Initial rated amount (Rs. crore)	Current rated amount (Rs. crore)	Date & rating in FY2027	Date & rating in FY2026		Date & rating in FY2025	Date & rating in FY2024
				October 26, 2026	October 30, 2025	June 30, 2025	-	-
Vega 06 2025	Series A1 PTCs	100.00	3.85	[ICRA]AA+(SO)	[ICRA]AA+(SO)	Provisional [ICRA]AA+(SO)	-	-

Complexity level of the rated instrument

Trust	Instrument	Complexity indicator
Banshee 06 2025	Series A1 PTCs	Highly Complex
	Series A2 PTCs	Highly Complex
Vega 06 2025	Series A1 PTCs	Highly Complex

The Complexity Indicator refers to the ease with which the returns associated with the rated instrument could be estimated. It does not indicate the risk related to the timely payments on the instrument, which is rather indicated by the instrument's credit rating. It also does not indicate the complexity associated with analysing an entity's financial, business, industry risks or complexity related to the structural, transactional or legal aspects. Details on the complexity levels of the instruments are available on ICRA's website: Click here

Annexure I: Instrument details

Trust name	Instrument	Date of issuance /Sanction	Coupon rate (p.a.p.m.)	Maturity date	Current rated amount (Rs. crore)	Rating	Financial Sector Regulator#
Banshee 06 2025	Series A1 PTCs	June 30, 2025	9.20%	March 17, 2027	6.35	[ICRA]AA+(SO)	RBI
	Series A2 PTCs	June 30, 2025	11.80%	March 17, 2027	6.01	[ICRA]AA-(SO)	RBI
Vega 06 2025	Series A1 PTCs	June 30, 2025	8.50%	April 17, 2027	3.85	[ICRA]AA+(SO)	RBI

Source: Company

#SEBI's grievance redressal/dispute resolution and SEBI investor protection mechanisms such as SCORES and ODR shall not be available for activities and instruments which fall under the regulatory purview of Financial Sector Regulators other than SEBI

Annexure II: List of entities considered for consolidated analysis

Not applicable

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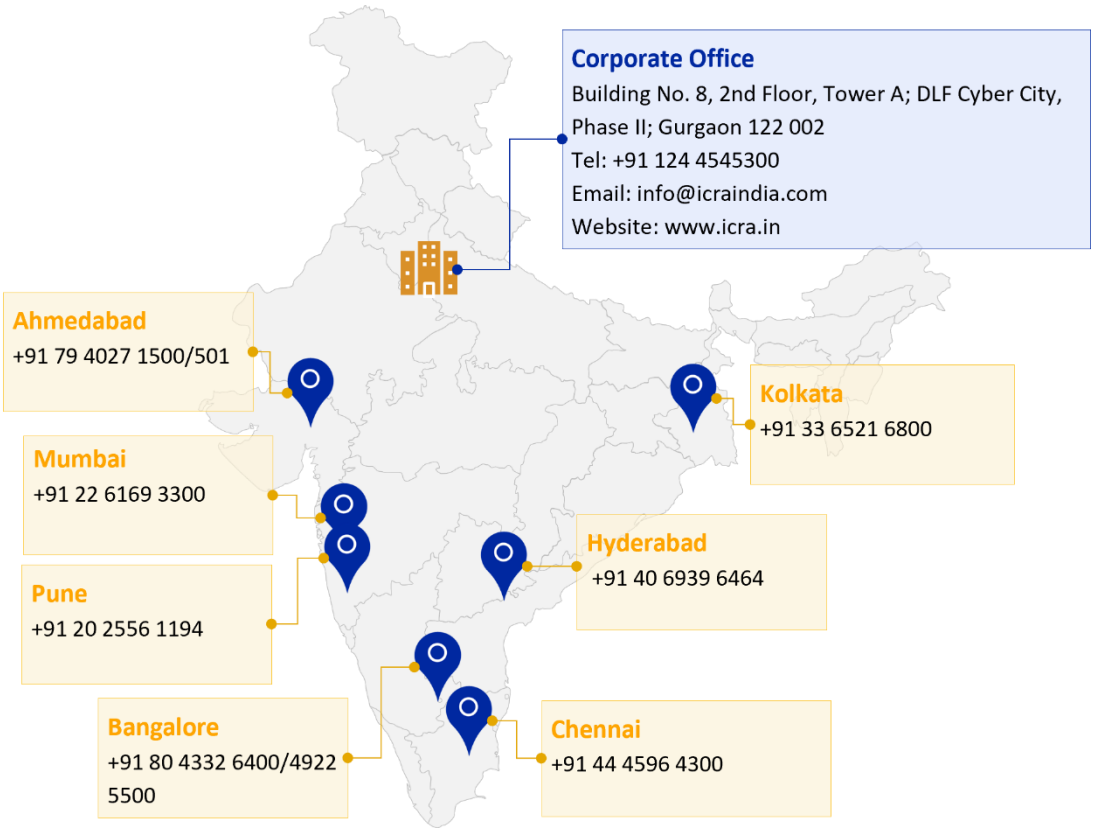
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